

opinion of all buyers and sellers who participate in a free market, and if the price of General Motors should be 50 in October of 1938, also in the opinion of all buyers and sellers, can we find, in this price variation, the clue to those factors that determine value and, through value, price? Admitted that, since value cannot be defined, the verdict of the market as to what value is must be accepted. That does not mean that the verdict of the market must be accepted at every moment. Obviously, the market changes its mind. What causes it to do so?

CLASSICAL DEFINITION IMPRACTICABLE

We reject the theory that the value of a stock is the total of the dividends it will pay during its life, not because this is theoretically incorrect, but because it is impracticable. However, common sense tells us that dividends in some way or other have a bearing on the price at which a stock will sell and, therefore, on its value.

It is known too that dividends can only be paid from profits and that profits are not always the same as dividends. Profits are often reinvested in the business and not paid out in dividends. Although dividends may be said to be a function of profits, they are not the equivalent. Therefore, it may be assumed that profits in their own right have some bearing on what the market will think the price of a stock should be.

Assets also have some weight. Many court tests reveal that book values are given weight in reorganization proceedings in an effort to determine the amount of equity available for apportionment to various claimants.

There is reason also to believe that habit of mind has something to do with price determination. If United States Steel sells for \$100 a share during a given year, that figure will influence the thinking of buyers and sellers of United